



# **SB 840 & DDB**

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Austin Planning | Downtown Commission | 10/15/2025

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# SB 840 Overview

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# SB 840 Summary



- Allows by-right mixed-use or multifamily in all zoning districts that allow non-residential uses (excluding zones with heavy industrial).
- Sets minimum standards for height, density, and maximum setbacks for multifamily and multifamily and mixed-use developments in commercial zones.
- Exempts residential conversions of existing commercial or office buildings from impact fees and other city requirements.
- Effective Date: September 1, 2025

# SB 840 Applicability: Residential by Right



- Allows residential by-right on any property where mixed-use, office, commercial, retail, or warehouse uses are currently allowed in the zoning district.
- **Does not apply to:**
  - Zones that allow a heavy industrial use
  - Properties within 1,000 ft of a heavy industrial use or development site or within 3,000 ft. of an airport or military base
  - An area designated by a city as “a clear zone or accident potential zone”

# SB 840 Applicability: Residential by Right (cont'd)



- Residential is allowed by right in the following zoning districts in Austin:
  - All office base zones:
    - Neighborhood Office (NO), Limited Office (LO), General Office (GO)
  - All commercial base zones:
    - Community Recreation (CR), Neighborhood Commercial (LR), Community Commercial (GR), Lake Commercial (L), Central Business District (CBD), Downtown Mixed-Use (DMU), Warehouse/Limited Office (W/LO), Commercial Services (CS), Commercial Highway (CH)
  - Special purpose base zones:
    - Agriculture (AG), *Planned Unit Development (PUDs)\**
  - Industrial base zones:
    - *Research & Development (R&D)\**
  - Regulating plans:
    - Lamar/Justin, Plaza Saltillo, MLK, East Riverside Corridor, North Burnet/Gateway Regulating Plans

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Applicable to properties with PUD and R&D zoning that allow commercial uses & prohibit heavy industrial uses

# SB 840 Applicability: New Minimum Entitlements



- Bill sets new minimum entitlements for “mixed-use residential” and “multifamily residential” development, for sites where SB 840 applies.
  - **Mixed-Use Residential** = any site in which the residential uses are at least 65% of the development’s total square footage.
  - **Multifamily Residential** = any site for 3 or more dwelling units within one or more buildings.

# New Minimum Entitlements Under SB 840



- Density:

- Cities must allow the greater of 36 units per acre or the highest residential density currently allowed in the city. This is 54 units per acre in Austin.
- Cannot restrict floor-area-ratio (FAR)

- Height:

- Cities must allow the greater of 45 feet or the height that currently applies to a non-residential use on the same site.

- Setbacks:

- Cities must allow the lesser of 25 feet or the setback that currently applies to a non-residential use on the same site.

# **Impacts of SB 840**

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# General Impacts to Density Bonus Programs



- Density bonuses that do not allow additional height, such as VMU, are likely no longer viable.
- Density bonuses that allow additional height, such as DB90, DBETOD, ERC, TOD, and NBG, may be less attractive than what's available by right for developments, post-SB 840
  - Viability likely varies by location or other factors, such as higher construction cost per sq. ft. for podium construction.
- Affordability Unlocked projects may have to compete with market-rate developers on more properties, potentially leading to higher land costs for subsidized affordable housing developments.

# SB 840 Impacts for Tiered Citywide DBs/DBETOD

- Council initiated changes on June 5 to create new tiered density bonus programs and revise the existing VMU and DB90.
- Goals from the resolution included direction to:
  - Look at additional types of community benefits
  - Analyze requirement for partial or full replacement of existing affordable units
- Staff will analyze the new development reality post-SB 840 to understand whether bonus programs could “pencil” with the same, fewer, or more benefits than are required today.

# Downtown Density Bonus (DDB)



- Produces highest density/heights and the most affordable housing fees-in-lieu in the City.
- CBD and DMU zoning today:
  - CBD zoning has no height limit but has FAR limit of 8:1.
  - DMU zoning has height limit of 120' and FAR limit of 5:1.
- DDB allows for developments to go above their base entitlements.
  - In general, DDB can increase CBD and DMU sites:
    - Up to 25:1 FAR
    - Up to unlimited height

# Downtown Density Bonus (DDB)



- SB 840 Impacts on DDB:
  - Removes FAR limits for developments with residential
  - Allows CBD sites unlimited height (lack of max. height in CBD) & unlimited FAR
  - Allows DMU zoning to develop to 120' tall with unlimited FAR
  - Greatly reduces the incentive for parcels zoned CBD to participate in DDB
    - Loss of affordable housing fees-in-lieu and “Great Streets” participation
- Potential Regulatory Revisions to Consider:
  - Add height limit to CBD consistent with 8:1 FAR

# Additional Impacts of SB 840



- Impacts on legacy commercial districts and regulation of active uses
- Airport Overlay impacts
- FLUMs and Neighborhood Plan Amendments
- Waterfront Overlay

For updates, an information sheet, and information on potential amendments, visit [SpeakUpAustin.org/LDCUpdates](https://SpeakUpAustin.org/LDCUpdates)

# Next Steps

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# Next Steps for Density Bonus Programs



- Update Land Development Code to establish a Central Business District base height & update Downtown Density Bonus to incorporate CBD height limit
- Develop staff proposals for new citywide tiered density bonus system that accounts for SB 840 impacts
- Create Central City District Plan and update Downtown Density Bonus through 2026
- Evaluate other types of incentives for affordable housing, beyond density bonus programs
- Identify additional changes and amend Land Development Code as needed



**Thank you!**